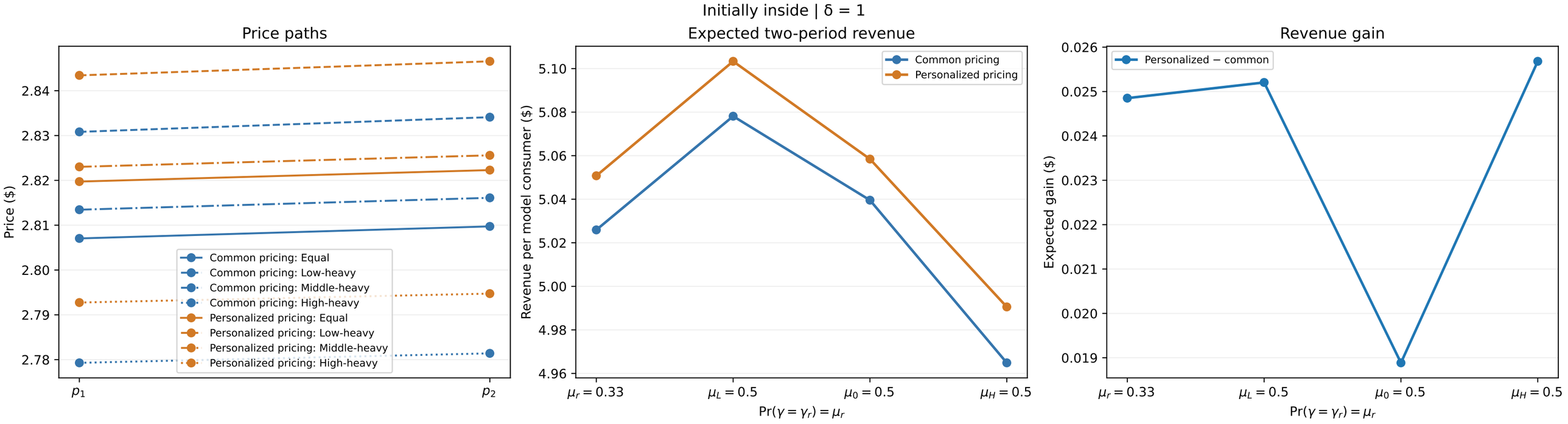
Initially inside | δ = 1
Price paths
Price ($)
2.84
2.83
2.82
2.81
2.80
2.79
2.78
p_1
p_2
Common pricing: Equal
Common pricing: Low-heavy
Common pricing: Middle-heavy
Common pricing: High-heavy
Personalized pricing: Equal
Personalized pricing: Low-heavy
Personalized pricing: Middle-heavy
Personalized pricing: High-heavy
Expected two-period revenue
Revenue per model consumer ($)
5.10
5.08
5.06
5.04
5.02
5.00
4.98
4.96
Common pricing
Personalized pricing
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$
Revenue gain
Expected gain ($)
0.026
0.025
0.024
0.023
0.022
0.021
0.020
0.019
Personalized − common
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$